

Formulating a decision matrix

The decision matrix allows you to give objective scores to each innovation option, to help you make better decisions about which will be most beneficial for your business. The matrix itself can be drawn as a simple table. List the options that are competing for strategic support (A, B, C) along the X-axis, then list the key checks along the Y-axis. Key checks can include such factors as: Does the idea fit with what you already know (your competence base)? Does it fit your overall business strategy? And how feasible do you think it would be to implement it?

You can fill these cells in with simple scores or with detailed comments. Add columns to rate the expected costs and benefits associated with the different projects, then add a total score column that tries to arrive at some priority based on the individual cells. You can continue adding cells, depending on the range of criteria you want to satisfy. Most decision matrices use a "rough cut" version to knock out options with low potential, and then repeat the exercise with more columns to narrow the selection.

***Decision matrix—**
a tool to help you make innovation decisions by balancing risk and reward dimensions across several different criteria.



CHECKLIST MAKING A DECISION MATRIX

- Have you established a definitive list of the options competing for strategic support?
- Do you have a list of key checks that must be applied to each option, and do the key checks cover all aspects of the innovation's potential benefits?
- Have you considered all potential costs that you might incur as you pursue this innovation?
- Are some factors more important than others, and, if so, have you weighted their scores appropriately (say, by doubling the points)?
- What other disruptive factors could your ideas face in the future?

YES NO

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